AMD Q3 2026 Earnings Update

Equity research education project | 4 November 2026 | USD except per share data

Q3 revenue	Non-GAAP gross margin	Data Center revenue	Q4 revenue guide
$13.377bn	**56%**	**$8.546bn**	**$17.0bn**

Result and guidance

AMD delivered Q3 revenue of $13.377bn, $377m above the prior $13.0bn midpoint and $77m above the high end of its guidance range. Non-GAAP gross margin met the 56% guide. Data Center revenue reached $8.546bn, up 97% year over year, while GAAP operating income was $2.832bn and diluted EPS was $1.46. Management guided Q4 revenue to approximately $17.0bn, plus or minus 3%, with non-GAAP gross margin of roughly 55%.

Model and valuation impact

I raised FY2026 revenue to $52.166bn from $50.330bn by replacing the previous Q3 estimate with the actual result and using the Q4 guidance midpoint. The higher base flows through to FY2027-FY2029. Updated net cash of $8.697bn also lifts value. The DCF moves from $150.02 to $156.16 per share and the comparable-company method from $491.78 to $510.38; the equal-weighted target becomes $333.27, up from $320.90. I retain the Underperform view because the updated DCF remains well below the $466.84 closing price used in the initiation model.

What changed and what to watch

- The result validates stronger near-term Data Center execution and raises the revenue base, but it does not resolve the longer-term valuation gap in the DCF.
- The next test is delivery against the $17.0bn Q4 guide, including whether Helios and Venice production supports mix, margins and cash conversion.
- Key upside risk remains faster-than-modelled AI accelerator demand or market-share gains; product execution, export controls and supply constraints remain counter-risks.

Source: AMD Q3 FY2026 earnings release and Form 8-K, 3 November 2026. Prior comparison uses AMD's Q2 outlook, not analyst consensus. Supporting calculations and source URLs are in the companion model.

Disclosure: I hold AMD shares. This is an educational research project, not investment advice or a solicitation to trade securities.